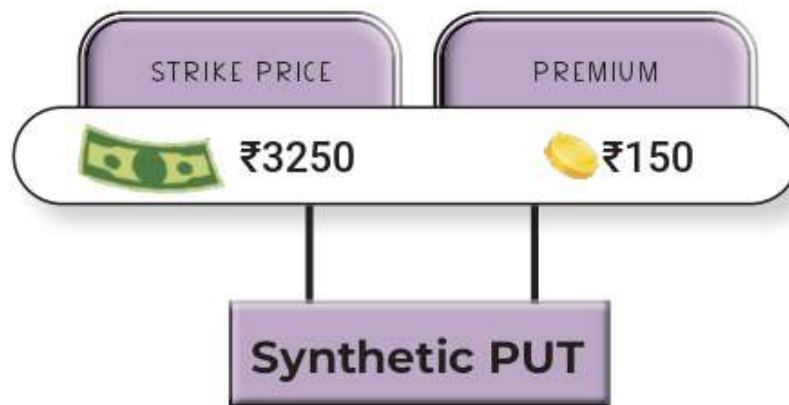




Assuming,

MARKET PRICE ON EXPIRY	NET PROFIT/ LOSS	EXPLANATION
₹3500	Profit/Loss = Profit/Loss from ShortSell + Profit/Loss from Call Option = (₹3000 - ₹3500) + (₹3500 - ₹3250 - ₹150) = -500 + 100 = -₹400 MAXIMUM LOSS The Maximum Loss is limited to ₹400.	We can see that the price rises by ₹500. The loss for the trader should have been ₹500 but due to the synthetic put, the losses were limited. The losses here were limited to ₹400 as the options bought were out of money. This is what Protective Put does, it limits the losses for the trader.
₹2000	Profit/Loss = Profit/Loss from ShortSell + Profit/Loss from Call Option = (₹3000 - ₹2000) + (-₹150) = ₹1000 - ₹150 = ₹850	Here, we can see that the trader would have made a profit of ₹1000. But due to the cost of Synthetic Put, the profit got reduced by ₹150 i.e. premium paid. Total Profit for the trader = ₹850.